

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SM LINE CORPORATION
Petitioner

VS.

SAMSUNG ELECTRONICS AMERICA, INC.
Respondent

**SM LINE CORPORATION'S
PETITION FOR LEAVE TO DEPOSIT FUNDS AND STOP THE ACCRUAL OF
INTEREST IN SATISFACTION OF THE FEDERAL MARITIME COMMISSION'S
ORDER ON THE INITIAL DECISION AND RELATED REPARATION AWARD**

Pursuant to 46 C.F.R. § 502.69 and 46 C.F.R. § 502.12 of the Commission's Rules of Practice and Procedure, as well as pursuant to Rule 67 of the Federal Rules of Civil Procedure, Petitioner SM Line Corporation ("SM Line") files this Petition for Leave to Deposit Funds and Stop the Accrual of Interest in Satisfaction of the Federal Maritime Commission's Order On The Initial Decision and Related Reparation Award ("Petition").

In support of its Petition, SM Line states as follows:

BACKGROUND

1. On August 13, 2026, the Federal Maritime Commission (the "Commission") issued its Order on Initial Decision in this proceeding ("Order"). (Dkt. No. 157)

2. In the Order the Commission directed SM Line to pay Samsung Electronics America, Inc. (“SEA”) a principal reparation award of \$1,913,355.80 with statutory interests accruing from November 30, 2021. (Dkt. No. 157 p. 50)
3. On August 13, 2026, SM Line sought instructions from the Commission as to the proper quantification of interest on the principal reparations award. (Declaration of Wook Chung ¶ 4; Exhibit A to the Declaration of Wook Chung)
4. On August 14, the Commission responded stating “*Pursuant to the formula provided in 46 C.F.R. § 502.253: damages in the amount of \$1,913,355.80, plus interest in the amount of \$382,266.76 (from November 30, 2021, through August 13, 2026) for total reparations due in the amount of \$2,295,622.56.*” (Declaration of Wook Chung ¶ 5; Exhibit A to the Declaration of Wook Chung)
5. On August 18, 2026, SM Line contacted SEA, offered payment of the full reparation amount with accrued interest, and requested SEA’s banking information to wire the funds indicating its unequivocal willingness and readiness to promptly pay the full reparations award with all accrued interest as according to the Commission’s Order. (Declaration of Wook Chung ¶ 6; Exhibit B to the Declaration of Wook Chung)
6. SEA ignored SM Line’s message of August 18, 2026. (Declaration of Wook Chung ¶ 7)
7. On August 18, 2026, SM Line again sought instructions from the Commission as to the proper quantification of interest on the principal reparation award. (Declaration of Wook Chung ¶ 8; Exhibit C to the Declaration of Wook Chung)
8. On the same date the Commission responded to SM Line stating “*Pursuant to the formula provided in 46 C.F.R. § 502.253: damages in the amount of \$1,913,355.80, plus interest in the amount of \$384,214.68 (from November 30, 2021, through August 21, 2026) for total*

reparations due in the amount of \$2,297,570.48.” (Declaration of Wook Chung ¶ 9; Exhibit C to the Declaration of Wook Chung)

9. On August 19, 2026, SM Line made a second and third offer of payment and again requested payment instructions to multiple SEA representatives. (Declaration of Wook Chung ¶¶ 10, 11; Exhibit D to the Declaration of Wook Chung)
10. SM Line’s third offer of payment expressly assured SEA that SM Line’s payment “*will be made without prejudice to, and with full reservation of, SEA’s rights of appeal, including any appeal seeking additional reparations, and SEA’s right to file an attorney’s fees application with the ALJ.*” (Declaration of Wook Chung ¶¶ 11, 12; Exhibit D to the Declaration of Wook Chung)
11. Rather than accepting SM Line’s tender, on August 20, 2026, SEA arbitrarily demanded from SM Line a payment largely exceeding the reparation amount awarded by the Commission:

*“SEA has considered SM Line’s proposal to pay \$1,913,355.80 plus interest owed from November 30, 2021, and rejects the proposal. To resolve this dispute, SM Line must pay an amount commensurate with SEA’s damages, interest, and attorney’s fees. Please let us know if SM Line is willing to discuss a payment of **\$20 million.** [sic]”*

[emphasis added] (Declaration of Wook Chung ¶ 13; Exhibit D to the Declaration of Wook Chung)

12. On August 20, 2026, SM Line then informed the Commission of its repeated offers to SEA to pay the reparation award inclusive of interest in compliance with its obligations under the Order. Despite SM Line’s good-faith, unconditional offer of immediate and total payment, SEA has refused to provide payment instruction and take delivery of the reparation funds inclusive of interest and therefore has inhibited SM Line from fulfilling its obligations under the Order.

13. On August 28, 2026, SM Line wired \$2,297,570.48 to its counsel Montgomery, McCracken, Walker and Rhoads LLP's IOLA account for the explicit purpose of stopping the accrual of interest. (Declaration of Wook Chung ¶ 14)

ARGUMENT

This Petition solely concerns the post-judgment interest of a reparation award and the appropriate method for depositing funds in the absence of specific Commission guidance. The Commission's Order imposes an affirmative obligation on SM Line to pay the reparations award, together with accrued interest. The Order, however, does not specify how SM Line should deliver the funds to SEA. SEA, likewise, has not provided instructions regarding its preferred method of payment, and the Commission's Rules of Practice and Procedure do not provide a specific mechanism for depositing funds into an agency registry. Under 46 C.F.R. § 502.12, in situations not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent they are consistent with sound administrative practice. SM Line's circumstances fall squarely within this provision.

As explained above, SM Line has exhausted all available administrative avenues to satisfy the Commission's Order. SEA has refused to accept SM Line's payment or provide banking information necessary to effect payment. Even after SM Line expressly assured SEA that accepting payment would not affect its ability to appeal the Order or seek attorney's fees, SEA instead proposed a counter payment exceeding ten times the amount awarded by the Commission. The Commission's Order does not give SEA any authority to renegotiate the amount of reparations awarded. SEA's refusal to accept payment has therefore left SM Line without a clear administrative mechanism for satisfying its obligations under the Order and has required SM Line to seek guidance from the Federal Rules of Civil Procedure.

Specifically, Rule 67 of the Federal Rules of Civil Procedure permits a party to deposit all of the money judgment sought in an action directly with the court. Pursuant to 46 C.F.R. § 502.12, SM Line therefore requests that the Commission permit it to make the full amount of the reparations award, together with accrued interest, available to SEA by either: (1) placing the full reparations judgment amount with interest into a trust account with the Federal Maritime Commission or; (2) alternatively, recognizing SM Line's prior deposit of the funds into the IOLA trust account of its counsel, Montgomery McCracken, as delivery of payment in satisfaction of its obligations under the Order and effectively stop the accrual of post-judgment interest.

MEET AND CONFER

Pursuant to 46 CFR § 502.71(a), the parties conferred on August 28, 2026 to discuss this Petition in a good faith effort to narrow the areas of disagreement. Counsel for SM Lines offered to withhold filing of its Petition if SEA would stipulate post-judgment interest stopped accruing the day SM Lines tendered delivery of payment. Counsel for SEA rejected this proposal. Counsel for SEA expressed concern regarding the impact the Petition could have on the administrative finality of the Order, noting the procedural history of a dispute previously litigated by counsel for SEA on behalf of another party. Since SEA's counsel was unable to provide a citation to the decision in question SM Line made a good faith effort to research and retrieve such decision. SM Line believes that the procedural history in *Maier Terminals, LLC. v. Port Authority of New York and New Jersey*, Docket No. 08-03 (FMC 2014) contains the decision that counsel for SEA was referring to. There, the Commission issued its order and Maier filed a petition for review of the order with the U.S. Court of Appeals for the D.C. Circuit and filed a petition for reconsideration with the Commission. The D.C. Circuit dismissed the petition finding that the order was not final and Maier's request for reconsideration rendered the petition premature.

For the avoidance of doubt, SM Line's Petition does not allege a change in material fact or applicable law, it does not contend that the Order is in error, or address any new matter. As such, it should not be construed as a motion for reconsideration. SM Line neither intends to disturb or otherwise affect the administrative finality of the Commission's Order nor to impair, toll, extend, or otherwise affect opposing counsel's right to appeal the Order, seek reconsideration, or pursue attorney's fees.

CONCLUSION

Based on the foregoing, SM Line respectfully requests that the Commission:

- a. Apply Rule 67 of the Federal Rule of Civil Procedure, pursuant to 46 C.F.R. § 502.12, and allow SM Line to place the total reparations judgment amount, with interest tendered August 21, 2026, into a trust account with the Commission as recognition that SM Line has delivered payment in satisfaction of its payment obligations under the Order or;
- b. Alternatively allow the deposit of the total reparations judgment amount, with interest tendered August 21, 2026, into the IOLA trust account of Montgomery McCracken to serve as recognition that SM Line has delivered payment in satisfaction of its payment obligations under the Order and has therefore stopped the accrual of interest on the reparation award;
- c. Grant such other further relief the Commission deems just and proper.

DATED: August 31, 2026

/s/Wook Chung_____

Wook Chung

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 31 day of August, 2026, the foregoing document was served via electronic mail on:

Federal Maritime Commission
Office of the Secretary
secretary@fmc.gov

Federal Maritime Commission
Presiding Administrative Law Judge
judges@fmc.gov

Complainant
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